

UPDATED 4 YEARS AGO

News updates from October 21: Turkey rate cut batters lira, CFTC awards \$200m payout to whistleblower, WeWork makes Wall Street debut

Today's top headlines:

- S&P 500 caps seven-day winning streak with record high close
- Snap offers dour outlook as new Apple policy hits ad revenue
- London's Met police charge man with murder of Sir David Amess
- France announces voucher scheme to ease impact of energy price surge
- US House vote finds Bannon in criminal contempt

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Matthew Rocco, Peter Wells, Mamta Badkar and Lydia Tomkiw in New York,
Adrienne Klasa, Sarah Provan, Leke Oso Alabi and Oliver Ralph in London, and
William Langley in Hong Kong

Oct 21, 18:05

Robert Wright in London

Queen Elizabeth spent night in hospital following cancellation of Northern Ireland trip

The UK's Queen Elizabeth spent Wednesday night in hospital, Buckingham Palace announced on Thursday, in an indication that her current illness could be more serious than initially indicated.

The Queen on Wednesday cancelled a scheduled trip to Northern Ireland, saying she had “reluctantly” accepted medical advice to rest for the next few days.

In an unexpected statement issued on Thursday evening, the palace said the monarch had attended hospital on Wednesday afternoon for “some preliminary investigations”. She returned to her home at Windsor castle at lunchtime on Thursday and remained “in good spirits,” the statement said.

The Queen, who is 95, lost her husband, the Duke of Edinburgh, in April this year at the age of 99.

The statement gave no details on which hospital the monarch had attended or the nature of the illness being investigated.



Oct 21, 16:45

Lauren Fedor in Washington

US House vote finds Bannon in criminal contempt

The US House of Representatives voted on Thursday to hold Steve Bannon, a former top aide to Donald Trump, in criminal contempt for his refusal to co-operate with a congressional probe into the attack on the US Capitol on January 6.

The Democrat-controlled House voted 229-202 to hold Bannon in criminal contempt, with nine Republicans joining 220 Democrats in voting to sanction him for failing to comply with a subpoena from a special committee investigating January 6.

The vote marks a major escalation of lawmakers' pursuit of Trump and his allies in the wake of the Capitol siege that interrupted the certification of Joe Biden's Electoral College victory. Bannon's case will now be handed to the US Department of Justice, which will decide whether to pursue misdemeanor criminal charges against him.

Thursday's vote comes just days after Trump sued the January 6 committee and the US National Archives in an attempt to prevent the release of nearly 50 documents relating to his presidency. The former president has argued that the documents can remain sealed — and his allies can stay quiet — because of executive privilege, a legal convention that means certain presidential communications can be held in secret.



Oct 21, 16:34

Naomi Rovnick in London and Kate Duguid in New York

S&P 500 caps seven-day winning streak with record high close

The S&P 500 staked out a new high on Thursday, with the US equities benchmark surpassing a previous peak made seven weeks ago as strong corporate earnings bolstered the mood on Wall Street.

The index closed up 0.3 per cent, led by technology stocks such as Microsoft, Tesla, Netflix and Amazon. The stock price of electric vehicle maker Tesla rose to a record high after beating earnings late on Wednesday.

Thursday marks the seventh consecutive day of gains for the S&P 500, the longest winning streak since June 2021. The index ended the longest period without a new record since November 2020.

The technology-focused Nasdaq Composite added 0.6 per cent, but remains about 1 per cent below its record high in early September.

The yield on the benchmark 10-year US Treasury note rose 0.03 percentage points to 1.69 per cent. The yield, which moves inversely to the price of the security, has climbed from about 1.3 per cent a month ago as traders have sold Treasuries in anticipation of the Federal Reserve reducing its \$120bn a month of pandemic-era bond purchases. High inflation has also piled pressure on Fed policymakers to raise interest rates from their current record low.

Read more about the day's market moves [here](#)



Oct 21, 16:22

Hannah Murphy

Snap offers dour outlook as new Apple policy hits ad revenue

Snap painted a dour picture for the fourth quarter, blaming Apple's recent privacy changes and broader macroeconomic woes for a revenue outlook that fell short of analysts' projections and prompted a 27 per cent drop in its shares.

The Los Angeles-based social media group warned that revenues in the three months to the end of December would be between \$1.16bn and \$1.2bn, below the current consensus estimate of \$1.4bn, according to S&P Capital IQ.

It also posted a 57 per cent rise in revenues in the three months until the end of September to \$1.07bn, falling short of its previous revenue guidance by \$3m.

In particular, chief executive Evan Spiegel said that since Apple introduced a new privacy policy in June, it had become difficult for advertisers to understand campaign performance, dragging on revenues.

The new rules, which Spiegel said have "upended" the industry, require apps on Apple's App Store to get explicit permission from users to track them for advertising purposes.

“While we anticipated some degree of business disruption, the new Apple-provided measurement solution did not scale as we had expected, making it more difficult for our advertising partners to measure and manage their ad campaigns for iOS,” he said.

Snap, whose shares were up 50 per cent this year at market close, dropped more than one-quarter to \$54.85 in after-hours trading.

Spiegel also blamed the bleak outlook on broader macroeconomic challenges around the pandemic, including advertisers’ supply chain issues and labour shortages. “This in turn reduces their short-term appetite to generate additional customer demand through advertising at a time when their businesses are already supply-constrained,” he said in prepared remarks.

Net losses shrunk 64 per cent to \$72m in the quarter, Snap added.



Oct 21, 16:14

Matthew Rocco

Mattel overcomes supply chain chaos and boosts sales outlook

Mattel overcame global supply chain headaches to generate stronger than expected quarterly sales, prompting the toymaker behind Barbie dolls and Hot Wheels cars to raise its full-year outlook.

The company booked \$1.76bn in net sales during the third quarter, 8 per cent more than the same period last year, driven in part by strong demand for Jurassic World and Masters of the Universe action figures. Analysts were looking for slower growth with a forecast of \$1.69bn.

Mattel now expects revenues to climb 15 per cent this year over 2020, keeping the company on track for its biggest sales gain since 1999. It previously estimated growth of 12-14 per cent.

Mattel also predicted adjusted ebitda of \$900m to \$925m, up \$25m on both ends of the range, and maintained its outlook for gross margins despite a recent jump in costs.

Ynon Kreiz, Mattel's chief executive, said the company raised prices during the September quarter and has more than offset inflation with a combination of price increases and cost savings.

A toy boom that began with parents looking to entertain homebound children during the pandemic has carried well into 2021, bolstered by resilient consumer spending.

But toymakers are battling rising costs and supply chain delays just as consumers begin to make their shopping lists for the holidays. Congestion at ports along the West Coast and a shortage of truck drivers have prompted warnings from corporate executives — and even the White House — that shoppers may encounter empty shelves this year.

“I can’t speak on behalf of other toy companies, and it’s not like we’re not seeing disruption, but we’re benefiting from our expertise and new operating model,” Kreiz told the FT.

“We may not be able to see all of the demand” during the holidays, but Mattel expects to continue gaining market share, he said.



Oct 21, 15:32

Leila Abboud and Anna Gross in Paris

France announces voucher scheme to ease impact of energy price surge on poorer households

The French government will send a one-off €100 cheque to 38 million low and middle-income people in its biggest, most expensive move to date aimed at offsetting the impact of soaring energy and petrol prices.

Prime Minister Jean Castex on Thursday announced the decision as the government seeks to reassure citizens six months ahead of presidential elections and prevent a recurrence of the *gilet jaune* protests that began in 2018 over petrol price increases.

“We have decided to create this so-called inflation indemnity that will go out to all citizens who earn less than €2,000 after tax per month,” he said in an interview on TF1 television station.

The median salary for workers in the private sector in France was about €1,900 after tax in 2019, according to Insee, the national statistics bureau.

The new measure will cost about €3.8bn, and is the latest move by the government of President Emmanuel Macron to soften the blow of rising energy prices on consumers and businesses. In September, it announced it would freeze gas prices for all of 2022 and limit electricity price rises due to take place in February to 4 per cent. It also issued an “energy voucher” worth €100 to the 5.8m poorest households in the country at a cost of €580m.

Prices at the pump rose another 2 cents last week in France, reaching highs not seen for years, at €1.56 per litre for diesel, and €1.62 for unleaded petrol containing up to 10 per cent ethanol.

“We believe that this increase in [energy] prices is temporary, but we cannot let it hobble the economic recovery,” Castex said.



Oct 21, 14:04

James Politi in Washington

Federal Reserve bans officials from trading shares in wake of scandal

The Federal Reserve has adopted new rules banning policymakers and senior staff from buying individual shares and a string of other investments, as it tries to stamp out a growing furore over trading by top officials.

In a statement on Thursday, the Fed said that as a result of the new policies, senior officials at the central bank would be limited to “purchasing diversified investment vehicles, like mutual funds”.

As well as banning the acquisition of individual stocks, they would not be allowed to hold “investments in individual bonds, holding investments in agency securities (directly or indirectly), or entering into derivatives”, the Fed said.

The new rules are being introduced after questionable financial trades during 2020 [led to the resignations](#) in September of Eric Rosengren, the president of the Boston Fed, and Robert Kaplan, the president of Dallas Fed.

The furore over those trades caused Powell to call for a review of the rules around investments by their top officials, which led to the tightening of the restrictions and disclosures announced on Thursday.

Read more on [the new trading rules here](#)



Oct 21, 12:51

Naomi Rovnick in London

Inflation debate keeps US stocks in a holding pattern

Global equities drifted on Thursday after large consumer-facing businesses said they had passed higher input prices on to customers, adding more fuel to a debate about prolonged inflation leading to interest rate rises.

The S&P 500 index fell 0.1 per cent in lunchtime trading in New York, after closing the [previous session](#) on the cusp of a record high. The technology-focused Nasdaq Composite added 0.2 per cent.

In Europe, the Stoxx 600 index ended the session flat, remaining just over 1 per cent below its August all-time high.

The moves came after the household goods group Unilever [warned about inflation](#), but said it had raised product prices in response. Consumer goods groups [Nestlé](#) and Procter & Gamble also said this week they had lifted prices to counteract higher input costs.

The updates alleviated concerns, which had pressured equity markets last month, about pandemic-related supply chain bottlenecks and an oil price surge hitting companies' profits. But they also raised questions about how persistent consumer price inflation — which is running at a [13-year high](#) in the US — will be and how aggressively central banks might act to contain it.

The yield on the benchmark 10-year US Treasury note rose 0.03 percentage points to 1.66 per cent.

Elsewhere in financial markets, the Turkish lira fell 2 per cent to hit a fresh all-time low of TL9.47 against the dollar after the country's central bank [slashed its main interest rate](#) by 2 percentage points to 16 per cent — a much deeper cut than analysts had expected.

Read more on the day's market moves [here](#)



Oct 21, 12:23

Neil Hume in London and Stefania Palma in Washington

CFTC awards record \$200m payout to whistleblower

The Commodity Futures Trading Commission has made its largest ever payment to a whistleblower, awarding an informant nearly \$200m.

The US commodity markets regulator did not identify the whistleblower but said the payment had been made for “timely original information” that significantly contributed to an already “open investigation”.

This led to a “successful enforcement action, as well as to the success of two related actions, by a US federal regulator and a foreign regulator, the CFTC said in a statement.

Since issuing its first award in 2014, the CFTC has awarded more than \$300m to whistleblowers, who are eligible to receive between 10 and 30 per cent of the monetary penalties collected.

The largest penalty levied by the CFTC was in 2020 when it fined JPMorgan \$920m for spoof orders in precious metals and US Treasury futures contracts

But the latest award has already sparked controversy, with one CFTC commissioner, Dawn Stump, saying that she did not approve a portion of the payment that is “attributable to the collection of sanctions by the Foreign Regulator.”



Man appears in court to face charges following death of UK MP David Amess

A 25-year-old man appeared on Thursday before magistrates to face charges of murder and a terrorism offence following the death of veteran Conservative MP Sir David Amess in Essex last week.

Ali Harbi Ali, from north London, appeared before Senior District Judge Paul Goldspring at Westminster Magistrates' Court in central London, having been charged by police earlier with the murder of Amess and preparation of terrorist acts.

The case has triggered significant debate both about MPs' security and the effectiveness of efforts to combat radicalisation among some young Muslims.

Ali, who wore a grey sweatshirt and sweatpants, spoke only to confirm his name, age and address at the short hearing. He entered no plea to the charges and will make another appearance at the Old Bailey on Friday.

Goldspring told Ali he had no power, in light of the charges, to grant him bail and remanded him in custody.

Read more on the court appearance [here](#)



WeWork's Wall Street debut values Adam Neumann's stake at \$1bn

WeWork shares jumped on Thursday as the company made its long-awaited debut on the New York Stock exchange, while across town the company's founder [Adam Neumann](#) *partied* with early employees and celebrated a roughly \$1bn windfall from the listing.

The co-working group began trading on Thursday morning in New York, drawing a line under a lengthy, chequered journey to become a publicly traded company.

WeWork's share price rose as much as 8 per cent in early trading as investors piled in, anticipating that the consistently lossmaking company will be boosted by the shift to more flexible working patterns post-pandemic. An hour after the market opened, the stock was trading 6 per cent higher at \$11.

One of the main beneficiaries of Thursday's float is Neumann, who retains a roughly 11 per cent shareholding, worth almost \$1.1bn at Thursday stock price, despite having left WeWork under pressure in the wake of 2019's listing attempt.



US existing home sales hit highest level in 8 months

US sales of previously owned homes rose more than expected last month to an eight-month high, as buyers snap up properties ahead of an expected increase in mortgage rates next year.

Existing home sales rose 7 per cent in September from the previous month to an annualised pace of 6.29m units, the National Association of Realtors said on Thursday, the highest level since February.

That exceeded economists' expectations for 6.1m units and marked the biggest month-on-month increase in a year.

"Housing demand remains strong as buyers likely want to secure a home before mortgage rates increase even further next year," said Lawrence Yun, economist at NAR.

Mortgage rates are expected to rise as the Federal Reserve has signalled it will begin to taper its pandemic-era stimulus programme as early as November, and as more officials pencil in a rate rise next year.

There were 1.27m unsold homes at the end of September, down 13 per cent from a year ago. The unsold stock of homes currently stands at a 2.4-month supply at the current sales pace.

Tight inventory and strong demand have driven US home prices to record highs and have made housing more unaffordable to many first-time buyers. The median price for previously owned homes was \$352,800 — 13.3 per cent above the same time a year ago.

“First-time buyers are hit particularly hard by the historically high home prices as they largely do not have the savings required to buy a home or equity to offset such a purchase,” said Yun.



Oct 21, 09:49

Naomi Rovnick

US stocks edge lower as companies report on inflationary effects

Wall Street and European equities have drifted lower after large consumer-facing businesses said they had passed higher input prices on to customers, sparking debate about prolonged inflation leading to interest rate rises.

The blue-chip S&P 500 index fell 0.2 per cent in early New York dealings on Thursday, after closing the previous session on the cusp of a record high. The technology-focused Nasdaq Composite traded flat.

The Stoxx Europe 600 index slipped 0.1 per cent, remaining less than 2 per cent below its mid-August all-time high. London's FTSE 100 fell 0.5 per cent as shares in miners exposed to China's slowing economy tumbled.

Shares in global household good group Unilever rose as much as 3 per cent, in their biggest daily gain since April, after it warned about inflation but said it had raised product prices in response. Consumer goods groups Nestlé and Procter & Gamble also said this week they raised prices to counteract higher costs.

The yield on the benchmark US Treasury note rose 0.02 of a percentage point to 1.652 per cent. The yield, which moves inversely to the price of the security, has climbed from about 1.3 per cent a month ago.

Sterling softened against the dollar, losing 0.2 per cent to \$1.38. Brent crude, the international oil benchmark, fell 1 per cent to \$84.94 a barrel but remained close to a three-year high.



Oct 21, 08:46

Matthew Rocco

US jobless claims fall to fresh pandemic-era low as lay-offs ease

The number of Americans seeking new unemployment aid fell to a pandemic-era low for a second consecutive week, reflecting a slowdown in lay-offs.

State unemployment offices took in 290,000 initial jobless claims on a seasonally adjusted basis, down from 296,000 a week earlier, according to figures from the labour department. Economists polled by Reuters forecast that claims would rise to 300,000.

A total of 2.48m people were actively receiving jobless benefits as of October 9, also marking the lowest level since the pandemic began. There were 2.6m continuing claims the week before.

Weekly jobless claims have fallen this year as businesses hold on to existing employees and struggle to hire more. Job openings remain near all-time highs, and workers are quitting their jobs at a record rate in a sign of their confidence in finding new ones.

Still, the pace of hiring has slowed in recent months with labour shortages and supply chain bottlenecks throttling economic activity.

The jobless claims report on Thursday showed that Virginia, Michigan, Pennsylvania and Texas led the decline in weekly filings, offsetting an increase in California, according to preliminary data.



Oct 21, 08:04

Lydia Tomkiw

Southwest posts narrower loss and trims holiday-quarter flight capacity

Southwest Airlines posted a smaller third-quarter loss, but lowered its forecast for fourth-quarter flight capacity.

The Dallas-based carrier expects fourth-quarter available seat miles, an industry measure of capacity, to be down 8 per cent compared with pre-pandemic levels, from its previous forecast for a smaller 5 per cent drop. From a year ago, it expects a 54 per cent increase, compared with its previous forecast for a 60 per cent rise.

The scaled-back flying projections accompanied a 17 per cent drop in revenues from a year ago to \$4.68bn in the third quarter, ahead of analyst predictions of \$4.58bn, according to Refinitiv.

Net income of \$446m in third quarter that was aided by a \$763m offset from the government's Payroll Support Program. The carrier reported an adjusted loss of 23 cents a share, while analysts had predicted a loss of 28 cents.

Chief executive Gary Kelly noted that the third quarter was a challenge for Southwest "operationally".

“Despite the deceleration of traffic in August and September due to surging Covid-19 cases, the third quarter 2021 demand and revenue performance was quite strong and a dramatic improvement from a year ago,” Kelly said in a statement.

Increased leisure travel helped Southwest’s third-quarter capacity increase 46.4 per cent year over year, down only 1.6 per cent compared with the third quarter of 2019.

The airline experienced several days of [flight cancellations and delays](#) in recent weeks and estimated a \$75m hit due to the cancellations in October.

Kelly said Southwest was hiring “aggressively” with a goal of adding approximately 5,000 new employees by the end of the year and that the airline was already halfway towards that goal.

Despite the upcoming peak holiday travel season, Southwest said it did not expect to be profitable during the fourth quarter. The recent [climb in oil prices](#) has threatened airlines slow recovery path out of the pandemic. Southwest estimated fuel costs per gallon to range from \$2.25 to \$2.35 in the fourth quarter.



Oct 21, 07:54

Robert Wright in London

London's Met police charge man with murder of Sir David Amess

UK police on Thursday charged a 25-year-old man with murder and a terrorism offence following the death of a member of parliament in Essex on Friday.

London's Metropolitan Police, which took over the investigation from Essex Police after it was ruled a terrorist attack, said Ali Harbi Ali would appear in court later on Thursday charged with the murder of Sir David Amess and preparation of terrorist acts.

The charge was announced by Matt Jukes, the Met police's assistant commissioner for specialist operations.

"Today's charge is a significant milestone in the case, but the work from my colleagues in the Met's Counter Terrorism Command will continue apace," Jukes told media outside New Scotland Yard.



Oct 21, 07:49

Claire Bushey

American Airlines expects rising costs to squeeze quarterly earnings

American Airlines has predicted rising costs, such as for fuel, will squeeze its profits in the fourth quarter.

The airline, based in Fort Worth, Texas, said its pre-tax profit margin would shrink between 16 and 18 per cent.

As oil prices increased, the airline predicted paying between \$2.43 and \$2.48 for a gallon of jet fuel, with estimates that it would burn about 970m gallons in the quarter. Fuel can account for up to 30 per cent of the cost of running an airline.

Excluding fuel, costs per available seat mile — an industry metric that divides operating costs by an airline's flying capacity — are expected to rise up to 10 per cent compared with the fourth quarter of 2019. In that period, it cost American \$19.64 to fly one seat one mile.

Quarterly revenue would fall 20 per cent compared with \$11.9bn in the same period of 2019, the airline predicted, with its flying capacity expected to decline 13 per cent.

American reported net income of \$169m on revenue of \$9bn. Without US government aid, which showered the industry with grants and low-income loans during the pandemic, it reported a net loss of \$641m.

“The third quarter started out very strong,” chief executive Doug Parker and president Robert Isom said in a memo. “But then the spread of the Delta variant led to fewer people flying While we don't like reporting losses, this was our smallest quarterly loss since the pandemic began.”



Oct 21, 07:11

Laura Pitel in Ankara and Tommy Stubbington in London

Turkey slashes interest rates 2 percentage points, sending lira tumbling further

Turkey's central bank defied warnings from the business world and opposition parties by slashing its main interest rate on Thursday, despite rising inflation and an ailing currency.

Bucking the global trend at a time when both developed economies and other emerging markets are adopting a hawkish stance, the bank lowered the cost of borrowing by a full 2 percentage points — a far deeper cut than was expected by the markets.

The decision lowered the benchmark one-week repo rate to 16 per cent.

President Recep Tayyip Erdogan, an opponent of high interest rates, has asserted ever more control over the nominally independent central bank in recent years.

The lira, which had already lost about 20 per cent of its value against the dollar this year prior to the announcement, fell by a further 2 per cent, hitting a fresh all-time low of 9.47 to the US dollar.

Erdogan, whose view that high interest rates lead to inflation runs counter to established economic orthodoxy, has increasingly meddled in monetary policy in recent years as he has consolidated his control over the Turkish state.

He has pushed for rate cuts even when they have come at the cost of soaring inflation and turmoil in the country's financial markets.

But the central bank has also faced growing pressure from the country's bullish opposition, which has been buoyed by Erdogan's declining poll ratings, to act in line with its independent mandate.



Oct 21, 07:01

Antoine Gara in New York

Blackstone prepares for higher inflation as earnings hit record level

The world's largest alternative asset manager Blackstone is advising its private equity portfolio of about 100 companies around the world to prepare for higher inflation and continued supply chain disruptions.

“We are talking to our companies now about having their supply chains closer to home, and keeping more inventory on-site,” Blackstone's president Jonathan Gray told the Financial Times in an interview.

From port backlogs to semiconductor shortages and soaring commodity prices, bottlenecks threaten the global economic recovery and have seen consumer groups such as [Unilever](#), [Nestlé](#) and paint company [Akzo Nobel](#) increasing how much they charge their customers.

“Our expectation is that we will see higher levels of inflation,” said Gray, who is advising chief executives to budget for higher energy, food and labour costs. “This is going to stick with us.”

Gray’s comments come as Blackstone’s portfolios, which span buyouts to real estate, credit and infrastructure investments, continue to perform as the global economy reopens in the wake of the pandemic. The New York-based group on Thursday morning reported record profits and investment activity for the third quarter as assets under management hit a new record.

Read more on [Blackstone’s earnings here](#)



Oct 21, 06:56

Laura Pitel in Ankara

Turkish lira falls after Erdogan rails against western nations

Turkey’s president Recep Tayyip Erdogan sent the lira tumbling ahead of a crucial central bank decision by signalling that he could expel 10 western ambassadors.

The lira fell 0.8 per cent after the Turkish president railed against a group of nations, including the US and Germany, for a rare joint statement that called for the release of the jailed businessman and philanthropist Osman Kavala.

“You think the right to give [us] lessons?” Erdogan said in televised remarks on Thursday. “I said to our foreign minister, we don’t have the luxury to host these [people] in our country.”

The Turkish lira, which has fallen about 20 per cent this year, was already under heavy pressure ahead of today’s central bank rate-setting decision. The bank is expected to defy warnings from business groups and opposition parties by cutting interest rates, even as the country faces soaring inflation.



Oct 21, 06:45

Donato Paolo Mancini in London

BioNTech/Pfizer vaccine boosters show 95.6% efficacy

A booster shot of the BioNTech/Pfizer vaccine is 95.6 per cent effective against Covid-19 compared with those receiving two shots and a placebo, the companies said on Thursday, citing preliminary results from the first randomised, controlled trial on boosters.

Ugur Sahin, the head of BioNTech, said the “important data” added to the body of evidence suggesting that a booster dose can help “protect a broad population of people from this virus and its variants”.

“Based on these findings we believe that, in addition to broad global access to vaccines for everyone, booster vaccinations could play an important role in sustaining pandemic containment and a return to normalcy,” he added.

In a trial with 10,000 participants who had all completed a two-shot Pfizer regimen, half were randomised to receive a further, equal-strength dose of the shot, and half a placebo. Five cases of Covid were registered in patients receiving the booster compared with 109 who were given a placebo. The trial took place during a period when the Delta variant was prevalent, and the median time between second and third doses was about 11 months.

The median age of participants was 53, with little more than half in the 16 to 55 age group. More than a fifth were older than 65, a category more at risk from severe Covid. Multiple subgroup analyses, the companies noted, showed that relative efficacy was “consistent” regardless of age, sex, race, ethnicity or other underlying conditions.



What to watch in the US today

US earnings: Fast food restaurant chain Chipotle and home improvement retailer Tractor Supply are among the companies reporting on Thursday that could offer insight on the US consumer landscape. Chipmaker Intel and social media group Snap are the highlights for the tech sector, while in telecoms AT&T will be reporting its numbers. Rail operator Union Pacific should also attract attention given concerns about supply chain disruption.

Holiday hints: The fortunes of several companies reporting today are closely linked to the upcoming holiday season. Any outlook for the current quarter offered by American Airlines, Southwest Airlines and Alaska Air will be closely watched by investors and holiday makers alike, particularly following the impact that the Delta variant of Covid-19 had on the aviation industry's recovery over the summer. Commentary from Mattel on its supply chain could add further insight into the logistical challenges being faced by many companies, and should also shed light on how confident the company is of having its toys on shelves in time for Christmas.

Jobless claims: Data due at 8.30am Eastern Time are expected to show that 300,000 Americans filed for new unemployment benefits last week, according to a Refinitiv survey of economists. Figures last Thursday showed 293,000 filings, marking the first time since the start of the pandemic that weekly jobless claims were below 300,000.

Manufacturing activity: A gauge of general business activity tracked by the Federal Reserve Bank of Philadelphia is expected to have declined to 25 in October from September's four-month high of 30.7. The Philly Fed index is often regarded as a leading indicator for the more widely followed survey of manufacturing prepared by the Institute for Supply Management.



Oct 21, 06:17

Leke Oso Alabi

UK fuel pumps return to pre-Covid levels



Petrol station in London runs out of fuel in September after panic buying grips the UK © AP

Fuel stocks in Britain have bounced back to pre-pandemic levels after a spate of panic buying prompted a shortage and long queues at forecourts, especially in the south-east of the country.

Operations at as many as 100 service stations were disrupted and several forecourts closed after reports of a shortage of tanker drivers, which led to limits in the supply of fuel.

The Department for Business, Energy and Industrial Strategy said following increased demand the stock levels at sampled filling stations fell to a low of 15 per cent on September 25.

However, closing stocks on October 17 were at 45 per cent for the UK as a whole, with some regional variation ranging from a low of 42 per cent in London and Wales and a high of 47 per cent in Yorkshire and The Humber.

Typical stock levels vary but in early 2020, before the disruption to demand following Covid-19 restrictions, stock levels averaged 46 per cent.



Oct 21, 06:03

Valentina Romei

Reports of UK shortages at highest in 40 years, CBI finds

The highest proportion of UK manufacturers in more than 40 years has reported shortages of goods and workers this month, according to a survey that suggests the lack of materials and skills is limiting the pace of the UK economic rebound.

Almost two-thirds of manufacturers cited the availability of materials and components as a factor likely to limit output next quarter, as recorded in a survey from the CBI, the UK employers' organisation. This is the highest proportion since January 1975.

Manufacturers, interviewed between September 24 and October 12, expressed heightened concerns about labour shortages affecting future output. Two-in-five companies were worried about a lack of skilled labour, the highest share since July 1974, and nearly a third were concerned about availability of other labour, a survey-record high.

Anna Leach, CBI deputy chief economist, said that “from higher material costs to labour shortages, manufacturers continue to face a number of serious global supply challenges hampering their ability to meet strong demand”.

She added that manufacturers were using key levers, such as hiring workers and planning further investment in plant and machinery and training, to expand production.

Rapid cost growth have fed into price pressures, with average domestic and export prices increasing at their fastest rate since April 1980 and April 2011, respectively, the survey said.



UK garners £74bn for second green bond in environmental borrowing push

The UK received more than £74bn of orders for its second green government bond, as demand showed little sign of cooling after last month's record-breaking debut sale.

The £6bn of new debt maturing in 2053 was priced at a yield of 0.01 of a percentage point below an existing 2052 gilt, which is currently trading at 1.37 per cent, according to bankers working on the deal.

The UK has raised £16bn from its first two [green gilt sales](#) as it embarks on one of the world's biggest environmental borrowing programmes in the run-up to hosting the COP26 climate conference in Glasgow this month.

Proceeds from the debt are earmarked for environment uses including flood defences and renewable energy projects.

The UK lagged behind several other European countries that have already sold green debt, but has tapped markets this year amid growing evidence that investors are prepared to pay a small premium for sovereign bonds carrying a green label.



Oct 21, 05:22

Valentina Romei

UK flights and office working pick up despite surging Covid cases

The UK had the highest number of flights and the highest proportion of workers travelling to the office in October since the before the country's first Covid-19 lockdown, pointing to a return to some normality despite rising infections.

The seven-day average number of UK daily flights was 3,625 in the week ending October 17 2021, though this was still only 59 per cent of the equivalent week of 2019, according to Eurocontrol data published by the Office for National Statistics on Thursday.

Separate figures by Fable Data, which tracks spending on bank transactions, also showed in the four weeks to October 18 that airline spend rose nearly 20 per cent compared with the previous month.

A record proportion of people also travelled to the office, ONS data showed. In the fortnight to October 3, 72 per cent of UK staff said they worked from their pre-pandemic place of work, the highest since the start of the pandemic and double the proportion in June last year.

Sandwich bars including chain Pret A Manger have benefited, according to data published by the ONS for the first time. Transactions were higher in the week to October 14 than in early September across all regions. However, while transactions in Yorkshire were 50 per cent above January 2020 levels, they were still 16 per cent below in the city of London.



Oct 21, 05:06

Henry Foy in Brussels

UK urges allies to ‘wake up’ to dangers of Chinese and Russian missile development

The west “needs to wake up” to the dangers of Chinese and Russian missile development programmes, the UK’s defence secretary has said.

Ben Wallace warned against the “speed and range” of missile technologies developed by Beijing and Moscow as the Financial Times revealed China had successfully conducted two [hypersonic weapons tests](#) this summer, raising concerns that the country was gaining ground in a new arms race.

“I definitely think the west needs to wake up to the consequences of Chinese and Russian missile development. They are potent,” Wallace said. “It is very important to understand what they are developing and what that means, both in range and speed of capabilities. We have seen China and Russia increase speeds in [their] missiles and ranges to an accurate level.”

Wallace said he was not able to confirm or deny any details of the Chinese tests. But he added that Moscow and Beijing’s weapons capabilities in emerging areas such as space and cyber were similar.

“Space is already militarised by the Chinese and the Russians,” he said, during a visit to Brussels to attend a Nato meeting of defence ministers. “We have seen the Chinese and Russians test fire space weapons.”

Wallace’s comments come days after Nato secretary-general Jens Stoltenberg told the FT that the western alliance’s strategy for the coming decade would expand to account for “the rise of China” and its impact on Nato security.

“China matters in many ways especially in things like the high north where the Russia-China axis could potentially destabilise that part of the world,” Wallace said.

“It matters because a lot of hybrid war, space, cyber domain knows no boundaries,” he added. “This different way . . . is where we could be vulnerable.”



Oct 21, 04:56

George Parker and Sarah Neville

Ministers resist doctors’ pressure to impose Covid curbs in England

UK ministers on Thursday continued to resist pressure to impose new Covid restrictions in England, after a doctors’ union claimed the government was being “wilfully negligent” in refusing to move to its Plan B.

Edward Argar, health minister, said he did not believe the NHS in England was facing “unsustainable pressure”, in spite of rising hospitalisations and new Covid cases running at more than 40,000 a day.

But NHS bosses have said Plan B — including compulsory mask-wearing in some settings, “work from home” advice and Covid passports for entrance to clubs and mass events — should be introduced immediately.

Dr Chaand Nagpaul, the British Medical Association chair, said doctors “can categorically say that time is now” and that case levels in England were “unheard of in similar European nations”.

Nagpaul said the government had “taken its foot off the brake, giving the impression that the pandemic is behind us and that life has returned to normal”.

He said: “It is wilfully negligent of the Westminster government not to be taking any further action to reduce the spread of infection.” Nagpaul added the country had the same number of weekly Covid deaths now as in March, when the country was in lockdown.

Argar told the BBC that the vaccine rollout had helped to control hospitalisations, but accepted that Plan B might have to be activated if the NHS came under greater pressure from Covid and other winter infections.

Read more on the UK’s Covid response [here](#).



Oct 21, 03:31

Adrienne Klasa

European shares fall as Covid worries resurface

European stocks fell as markets opened on Thursday, following Asian shares lower as investors worried about the fate of highly indebted property developer Evergrande and global upticks in Covid-19 cases.

The broad-based Stoxx 600 index fell 0.4 per cent, as did the UK's FTSE 100, which was pulled down by mining stocks such as Rio Tinto and Anglo American.

Bonds were little moved, with the yield on the benchmark 10-year German bund flat at minus 0.12 per cent and the equivalent 10-year UK gilt ticking up 0.01 percentage points to 1.15 per cent.

Covid-19 cases have begun ticking up again globally, spurring speculation that authorities will impose further restrictions on activity. Singapore announced an extension to its coronavirus measures on Wednesday, while daily new cases in the UK are above 45,000.

Energy prices eased on Thursday after weeks of rises on the back of global supply shortages, with global oil benchmark Brent crude falling back 0.7 per cent to \$85.16 a barrel. US benchmark West Texas Intermediate also fell 0.5 per cent.

The euro fell 0.1 per cent against the dollar to purchase \$1.16 while the pound drifted 0.2 per cent lower to \$1.38.



Oct 21, 03:19

Leke Oso Alabi

UK government urges people to book third Covid jab

A UK health minister has urged people to “book yourself in” for a Covid-19 booster shot rather than wait to be called up as pressure intensifies on the government to stave off rising Covid-19 infections in England.

A third coronavirus jab can be administered about six months after the second one was received.

“It’s not just about waiting to be invited,” health minister Edward Argar told *Sky News* on Thursday. “If you get to the six months plus one week [period], go on the national booking system and book yourself in.”

Argar called the “huge pressure” facing the NHS “sustainable”.

“Get the jab, that’s the best way to ease the pressure on the NHS,” Argar told BBC Radio 4’s *Today* programme.

Hospitalisations have risen 11 per cent over the past seven days, with 869 being admitted with Covid-19 on Wednesday, the latest figures on the government website said. The daily coronavirus death toll slipped from a six-month high on Wednesday with 179 recorded. However, over the past seven days, the tally has risen 21 per cent.

England’s booster programme was initially restricted to vulnerable people, but last month was extended to all over-50s with 4m jabs being administered. An additional 2m invitations have been sent to homes across the country.

The daily death toll from Covid-19 across the UK rose to 223 on Tuesday, the highest level since early March. The number of individuals admitted to a hospital was 6,074 in the seven days to October 16, a rise of 11.2 per cent when compared with the previous seven-day period.



Oct 21, 02:47

Harry Dempsey

FirstGroup sells Greyhound bus operator to German group



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FirstGroup has sold Greyhound, the operator of iconic North American long-distance buses, to a subsidiary of Germany's FlixBus, rounding off the transport company's efforts to exit the US market and limit its focus to UK public transport.

The offloading of the business that was driving the FTSE 250 company into steep losses before the pandemic will result in \$172m of cash proceeds, of which \$140m will be paid upfront. FirstGroup has been trying to sell the division since 2019.

Greyhound, founded in 1914, deploys 1,300 vehicles on routes that criss-cross between cities in the US and Canada. It made \$422.6m of revenues in the year to March.

The divestiture follows the sale of the Aberdeen-based group's US school bus and transit businesses for £3.3bn to Swedish private equity company EQT in July, which caused a rift with the company's leading shareholder over the valuation.

David Martin, FirstGroup executive chair, said the agreement "completes the Group's portfolio rationalisation strategy which has refocused FirstGroup on its leading UK public transport businesses".

FirstGroup will retain \$176m of Greyhound properties, which will be leased back and then sold within five years, and \$320m of net liabilities such as pensions and finance leases, part of which will be covered using proceeds from the sale of the larger US assets.

FlixBus has been expanding aggressively in Europe and beyond, challenging rivals such as Megabus with low-cost services supported by digital technologies and "partnerships" with local operators. It launched FlixBus USA in 2018 and through the pandemic it has grown significantly in the UK.



Oct 21, 02:46

Judith Evans

Unilever bumps up prices over 4% to contend with inflation

Unilever has pushed up prices for its products by more than 4 per cent in the third quarter, as the global consumer goods group battles with input cost inflation and pressure to revive its languishing share price.

The price rises of 4.1 per cent helped the maker of brands including Dove soap, Hellmann's mayonnaise and Magnum ice cream to exceed expectations for the three months to September despite falling sales volumes. It posted underlying sales growth of 2.5 per cent and turnover of €13.5bn.

"You can see that we've stepped up the pricing . . . that's in response to the really very high levels of inflation that we are seeing," chief financial officer Graeme Pitkethly said.

"We think that will continue through the end of this year and into next year . . . We expect that [cost] inflation for next year could be higher than this year."

The group faces a tough balancing act with cost inflation as its sales are dominated by emerging markets, where rising prices for energy, freight and raw materials are having a particularly strong impact.

The company boosted its consumer price rises more than rival foodmaker Nestlé, which said on Wednesday it had pushed up prices by 2.1 per cent in the third quarter.

Unilever's chief executive Alan Jope has faced pressure to revive the company's share price. It has shed 18.9 per cent of its value over the past year to £38.17.



Oct 21, 02:39

Stephen Morris, Banking Editor

Barclays quarterly profit more than doubles as investment bank fees surge

Barclays' profit more than doubled in the third quarter driven by another strong performance at the investment bank, while the impact of coronavirus on its consumer divisions receded.

Net income jumped to £1.45bn from £611m in the same period last year, beating analysts' expectations for £1.1bn, the British bank said on Thursday. Revenue rose 5 per cent to £5.47bn, compared with the £5.2bn estimate.

Part of the surge in net profit was due to a drop in new loan-loss provisions. They fell to £120m compared with £608m in the third quarter last year, when the bank was forced to set aside more to cover potential bad loans caused by coronavirus lockdowns.

The bank said it expected impairments to remain lower than average as unsecured borrowing by customers on credit cards was subdued and due to the “improved macroeconomic outlook”.

The investment bank had another good performance, particularly in capital markets and M&A, where fees increased 59 per cent to £971m overall, similar to the big gains posted by Wall Street rivals last week.



Oct 21, 02:32

Valentina Romei

UK public borrowing falls by more than expected

Chancellor Rishi Sunak has been handed a boost ahead of next week’s budget, with UK public borrowing falling by more than expected in September.

Public sector net borrowing was estimated to have been £21.8bn last month, data from the Office for National Statistics showed on Thursday. That was £7bn less than in September 2020, and also below the £25.9bn forecast in March by the Office for Budget Responsibility, the UK fiscal watchdog.

Martin Beck, senior economic adviser to the EY Item Club said that the chancellor “certainly has some room for manoeuvre” at next week’s budget, given the economy has outperformed the OBR’s March forecast.

Central government receipts were estimated at £62.3bn, which was £6.2bn more than in the same month last year and higher than the £58.5bn forecast by the OBR as the economic recovery boosted tax revenues.

At the same time, central government bodies spent £84.1bn in September, £1.3bn less than in the same month last year as the costs of coronavirus support programmes fell.

However, the borrowing figure was the second-highest for September since monthly records began in 1993, with public debt – borrowing accumulated over time - about 95.5 per cent of GDP, the highest since 1963.



Oct 21, 01:26

Oliver Ralph in London

What to watch in Europe today

Earnings: Third-quarter earnings season is in full swing, and investors will hear from all parts of the economy as companies report on their fortunes. In the industrial sector, there will be numbers from ABB, Whirlpool and Volvo Group. Those more interested in consumer goods will hear from Pernod Ricard, Unilever and Hermès. And fans of financial stocks can look forward to updates from Barclays, Swedbank and DNB Bank.

Economic data: There will be more indications of how the UK economy is performing on Thursday, with the release of data on industrial trends, retail sales and the country's public finances. There will also be figures on consumer confidence and the business climate in France.

EU: Leaders of EU nations will gather in Brussels for the latest meeting of the European Council. Covid-19, energy prices, migration and trade are also on the agenda, but there will also no doubt be some discussion of the debate between the EU and Poland over the rule of law.



Oct 21, 00:03

Edward White in Seoul

Beijing bans online news services from quoting top financial outlet Caixin

Beijing's internet watchdog has said articles from Caixin, one of China's most prominent and trusted business publications, can no longer be republished by online news services, marking the latest blow to journalism and free speech in China.

According to an announcement on Wednesday by the Cyberspace Administration of China (CAC), China's internet watchdog, Caixin was not among the list of more than 1,300 media sources approved for domestic republishing in China.

The move comes with the Chinese internet landscape already under immense pressure and heightened scrutiny as the Communist party under President Xi Jinping redoubles efforts to control flows of information in the world's most populous country.

"Before we hear anything from Caixin or others on the significance the new 'source list' might have for them specifically, I think we can say that this marks the further consolidation of party controls over news creation and distribution," said David Bandurski, co-director of the China Media Project at the University of Hong Kong.

"The goal is to ensure that the growing universe of digital media products is politically disciplined when it comes to sourcing news and discussion of current affairs."

Caixin could not immediately be reached for comment.

However, Bandurski also cautioned that Caixin's content mostly sits behind a paywall and that the outlet has not encouraged wider distribution through prominent Chinese social media channels such as Sina.

The list was last updated five years ago. In a statement the CAC noted the guidance of Xi and said China must strictly manage "illegal" investigations and reporting and work to cut off such information at the "source".

The CAC's new list also follows months of tightening scrutiny and intensifying censorship of blogs and social media sites covering China's financial markets and economy.

Additional reporting from Emma Zhou in Beijing



Oct 20, 22:17

William Langley in Hong Kong

US bans imports of Malaysian glove maker over forced labour allegations

US Customs and Border Protection has banned imports from Malaysian rubber glove manufacturer Supermax over allegations the company uses forced labour, making it the second Malaysian glove manufacturer this year to receive such a ban.

CBP said it had “ample evidence” that Supermax and its wholly owned subsidiaries produced gloves “in violation of US trade law” and would detain them at all ports of entry.

“With this Withhold Release Order, the Biden-Harris Administration continues to make clear that products made in whole or in part by forced labor will not be allowed into the United States,” said Alejandro Mayorkas, secretary of homeland security.

The order comes just over one month after CBP repealed a ban it had issued for Supermax’s Malaysian rival Top Glove, the world’s largest producer of rubber gloves, also over concerns of forced labour.

CBP said at the time it was satisfied that gloves made with forced labour were “no longer being, or . . . likely to be, imported into the United States”, ending a nearly [sixth-month ban](#) on the company’s products.

Shares of both companies plummeted on Thursday morning, with Supermax notching losses of at least 8.9 per cent, and Top Glove down as much as 2.1 per cent.

As with Top Glove, Supermax was a big beneficiary of the pandemic, with full-year profits surging 627 per cent to RM3.81bn (\$920m) in the 2021 fiscal year, following a 326 per cent increase the year before, according to data from Refinitiv.



Oct 20, 21:12

James Politi in Washington

Biden's corporate tax rise plan under threat from Democratic senator

President Joe Biden's plans to raise tax rates on corporate America and wealthy households have been thrown into doubt by resistance from Kyrsten Sinema, the Arizona senator, as a new roadblock emerged on the path to a deal with Congress on his sweeping economic agenda.

According to people familiar with the talks, senior Biden administration officials met with top Democrats on Capitol Hill on Wednesday to recast their planned measures to finance their \$3.5tn spending package — in a late scramble after weeks of negotiations.

The White House and party leaders in Congress have been planning an increase in the US corporate tax rate to at least 25 per cent from 21 per cent, along with increases in individual income and capital gains tax rates for the richest households.

But opposition from Sinema, a Democrat who has emerged as a leading thorn in Biden's side on fiscal policy, has become increasingly entrenched in recent weeks, forcing the White House and senior Democrats to consider other ways to make up the lost revenue if tax rate rises fall short.



Oct 20, 19:02

Kiran Stacey in Washington

FDA paves way for ‘mix and match’ boosters

Americans who are at high risk of contracting severe Covid-19 will now be allowed to receive a booster shot of any of the three vaccines authorised for use in the US, after regulators approved so-called “mix and match” dosing.

The US Food and Drug Administration announced on Wednesday it is authorising both Moderna and Johnson & Johnson to supply booster shots of their vaccines to people aged 65 and over or younger adults whose health or job puts them at a higher risk of contracting severe Covid. The decision comes a month after the FDA did the same for Pfizer.

The regulator said people will be allowed to receive any of the three authorised shots, regardless of which they received in their initial course. The decision is likely to pave the way for other countries to follow suit, which could dramatically increase demand for Pfizer and Moderna’s mRNA vaccines in countries that have predominantly used viral vector shots such as that made by AstraZeneca.

Janet Woodcock, the acting head of the FDA, said in a statement: “The available data suggest waning immunity in some populations who are fully vaccinated. The availability of these authorised boosters is important for continued protection against Covid-19 disease.”

Read more about boosters [here](#).



Oct 20, 19:00

Lydia Tomkiw

CSX to invest in container yards in push to alleviate supply chain crunch

Railway freight transportation company CSX will boost investments in container yards in an attempt to address the supply chain crunch caused by logjams at ports and warehouses.

The Florida-based company on Wednesday said it would invest in 13 overflow container yards at key terminals in order to “create additional storage and capacity”, a decision it said was in response to shortages of truck drivers.

CSX is also partnering with the Georgia Port Authority on its supply-chain relief programme, which will use inland rail yards in order to free truck capacity and reduce congestion at the port terminal.

James Foote, CSX chief executive, said the company was committed to helping its customers overcome current supply chain constraints, would take actions “to keep our network fluid” and find new solutions to enable the delivery of critical goods to millions of Americans.

“We will hire until we have staffed the network to match demand,” Foote said during the earnings call on Wednesday, pledging that the company would bolster its workforce to deal with supply-chain issues.

CSX reported a 24 per cent jump in revenues from a year ago to \$3.29bn in the third quarter, thanks to growth across all its business lines and a boost from the recently-completed acquisition of bulk liquid trucking company Quality Carriers. The figure came in ahead of analysts’ predictions of \$3.06bn, according to a Refinitiv survey.

Earnings of 43 cents a share topped market forecasts for 38 cents.

Automotive merchandise volume decreased during the three-month period because of lower North American vehicle production caused by the continued shortage of semiconductors.

CSX reported a 23 per cent jump in expenses, owing largely to higher fuel costs for locomotives and trucks.



Oct 20, 18:58

William Langley in Hong Kong

What to watch in Asia today

Official data: Figures released today include data on monthly foreign investment in Japan, business confidence in Australia and Hong Kong's unemployment rate.

Turkey set to be 'grey listed' by global finance

watchdog The Financial Action Task Force is expected to [approve recommendations](#) that Turkey should be subject to special monitoring for failings in its approach to combating money laundering and terrorist financing.



Oct 20, 18:35

Patrick McGee

Tesla overcomes chip shortage to post record profit

Tesla posted record profits and revenue in the third quarter, aided by bigger margins despite the average sales price of its vehicles declining as it extends its reach further into mass-market appeal.

The electric vehicle pioneer posted a net profit in the quarter of \$1.62bn, its highest ever and coming just three months after it posted its first \$1bn-plus quarter since it was founded in 2003. Compared to 12 months ago, net profit soared 389 per cent.

Quarterly revenue rose 57 per cent to \$13.76bn, a nudge below estimates but still a record for the company.

Tesla highlighted that its operating margins, at 14.6 per cent, were up 5.34 percentage points from a year ago and had exceeded its medium-term guidance of a “low-teens” operating margin.

The strong numbers did not come as a shock: Tesla reported two weeks ago that it delivered a record 241,300 vehicles in the quarter, a gain of 72 per cent from the prior year. The jump was particularly notable given how chip shortages have caused larger carmakers to report plummeting production.

Read more about Tesla’s profits [here](#).

